“Do We Need an Attorney for This?” and Other Questions Families Ask About a Parent's Legal Papers

Eight general answers for a family planning ahead, and who to ask for the rest.

Every family that starts looking at a parent's legal papers ends up asking the same handful of questions, usually around the kitchen table and usually with three different answers on offer. These are eight of them, answered in general terms.

None of the answers is about Dad in particular, and none is specific to a state. Where a question needs someone who has read his papers and knows the rules where he lives, the answer says who to ask.

1 Do we need an elder law or Medicaid planning attorney?

Not for taking stock. Finding Dad's papers, copying down who they name, talking with him about what he wants and writing down your questions are a family's work. Legal advice and legal documents belong to an attorney. The Consumer Financial Protection Bureau's guide for agents says Medicaid is complicated, and to get legal advice and be very careful about decisions that may affect eligibility. [1]

> **ASK A PROFESSIONAL WHEN** a question on your list is about what a document means, whether it still fits, or whether to sign, change or cancel one. Those go to an elder law attorney.

2 How does a family find an elder law attorney, and what if cost is a worry?

The Family Caregiver Alliance says a family can ask the local Area Agency on Aging for a legal consult or hire an attorney who specializes in elder care law. The federal site USA.gov lists programs that give free legal advice and may help you find a free or low-cost attorney; some limit their services to people with low incomes. Who is available near Dad, and on what terms, is something only those offices can say. [2] [3]

> **ASK A PROFESSIONAL WHEN** you're not sure whether a program would take Dad's question. Ask the program directly. This guide can't say who qualifies for what.

3 What's the difference between a power of attorney, a health care power of attorney and an advance directive?

They cover different things. The Consumer Financial Protection Bureau describes a power of attorney as a legal document that gives someone else authority to make decisions about your money or property, and a health care power of attorney as one that gives authority to make health care decisions. Advance directives, MedlinePlus says, are legal documents that allow you to spell out your decisions about end-of-life care ahead of time. A living will is one kind. [4] [5]

> **ASK A PROFESSIONAL WHEN** you can't tell from the first page which kind of paper you're holding. Bring the paper itself to an elder law attorney, not a description of it.

4 If Dad signs a power of attorney, is he handing over control?

The general description from the Consumer Financial Protection Bureau says otherwise. Its guide for agents says a person who has signed a power of attorney can still manage their own money and property as long as they are able to make decisions, and, while still able to decide, can take the agent's authority away if they want to. The guide also says a power of attorney may take effect right away or only when the person can no longer make their own decisions. Reading Dad's own document for which applies is an attorney's work. [1]

> **ASK A PROFESSIONAL WHEN** Dad wants to know what his own document does, or wants to change who he has named. Both are for him and an elder law attorney.

5 Dad signed his papers years ago. Are they still good?

No guide can tell you, and a family can't tell by reading them. Whether a document is still valid, or still fits, is a question for an elder law attorney. The public sources do suggest looking again from time to time: AARP's legal checklist suggests reviewing a will every few years or during major life changes, and the Consumer Financial Protection Bureau suggests reviewing who you chose every so often, because relationships sometimes change. [6] [4]

> **ASK A PROFESSIONAL WHEN** you've written the date beside each document and listed what has changed in the family since. Take that page to an elder law attorney.

6 Could a trust or another legal strategy help?

It depends on the state and the situation, and no guide can answer it for your family. In general terms, the Consumer Financial Protection Bureau describes a revocable living trust as a legal document that gives a trustee authority to make decisions about the money or property in the trust if the person can't make decisions themselves. Its guide for trustees adds that other types of trusts exist and that people have different reasons for making them. Whether any of them belongs in Dad's plan is a question for an elder law attorney who knows his state. [4] [7]

> **ASK A PROFESSIONAL WHEN** someone suggests Dad should have a trust, or you find one among his papers. Write it on the list and take it to an elder law attorney.

7 How could transferring property or changing ownership affect Medicaid eligibility?

It may matter, and how depends on the state and the situation. The rules vary by state and change, so this guide doesn't state them. What the Consumer Financial Protection Bureau's guide for agents does say is to get legal advice and be very careful about decisions that may affect Medicaid eligibility, and to get legal advice before making any change to a joint account. [1]

> **ASK A PROFESSIONAL WHEN** anyone proposes adding a name to a deed or an account, making a gift or moving property, or you learn that something like this was done in the past. Write down what and when, and take it to an elder law attorney before any new change is made.

8 Where should Dad's papers be kept, and who should know?

That is Dad's choice. As general suggestions, AARP's legal checklist suggests keeping key documents together, for example in a designated desk drawer or a binder, and making sure family members know where they are. The Consumer Financial Protection Bureau suggests telling other family members, friends and financial advisers about a power of attorney. Its guide for agents says never to give away the original document, and that certified copies can be obtained. [6] [8] [1]

> **ASK A PROFESSIONAL WHEN** an original can't be found, or you're not sure whether a copy will do. An elder law attorney can say what to do next.

What this guide doesn't do

It doesn't answer any question about Dad's own papers or about the rules in his state, and it isn't legal, financial or tax advice. Anything that depends on what a document says or on where he lives needs an elder law attorney.

Ready for the next step?

You have plain, general answers, and you know which questions belong to an attorney. The planning interview is where the questions become about your family: it asks about your situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
2. Family Caregiver Alliance, What should I do to help get my family member's legal and financial affairs in order?
3. USA.gov, Find a lawyer for affordable legal aid
4. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
5. MedlinePlus (National Library of Medicine), Advance Directives
6. AARP, A Legal Checklist for Family Caregivers
7. Consumer Financial Protection Bureau, Managing someone else's money: Help for trustees under a revocable living trust
8. Consumer Financial Protection Bureau, What is a power of attorney (POA)?